UNIVERSITÀ DEGLI STUDI DI BERGAMO
Dipartimento di Scienze Aziendali

IAS 40
Investment Property

Master Degree in
ACCOUNTING, GOVERNANCE AND SUSTAINABILITY

International and Advanced Accounting
179009-ENG

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IAS 40 - *Overview*

IAS 40 *Investment Property* applies to the accounting for property (**land** and/or **buildings**) **held to earn rentals** or for **capital appreciation** (or both).

IAS 40 – *Objective*

par. 1

The objective of this Standard is to prescribe

the accounting treatment for investment property

and ***related disclosure requirements****.*

[IAS 40.1]

IAS 40 – *Scope*

par. 2-4

This Standard shall be applied in the **recognition**, **measurement** and **disclosure** of investment property. [IAS 40.2]

This Standard ***does not apply*** to: [IAS 40.4]

Biological assets related to agricultural activity

(IAS 41 *Agriculture* and IAS 16 *Property, Plant and Equipment*)

and

Mineral rights and mineral reserves such as oil, natural gas and similar non-regenerative resources

IAS 40 – *Definitions*

par. 5

Investment property

is property (land or a building or part of a building or both) held (by ***the owner or*** *by the* ***lessee as a right-of-use asset****) to earn rentals or for capital appreciation or both.*

[IAS 40.5]

IAS 40 – *Classification of property as investment property or owner- occupied property*

par. 6-15

Examples:

Examples of **investment property**: [IAS 40.8]

a) **land held for long-term capital appreciation** rather than for short-term sale in the ordinary course of business;

b) **land held for a currently undetermined future use** (*If an entity has not determined that it will use the land as owner-occupied property or for short-term sale in the ordinary course of business, the land is regarded as held for capital appreciation*);

c) **a building owned by the entity** (or a right-of-use asset relating to a building held by the entity) **and leased out under one or more operating leases**;

d) **a building that is vacant but is held to be leased out under one or more operating leases**;

e) **property that is being constructed or developed for future use** as investment property.

IAS 40 – *Examples*

The following **<u>are not investment property</u>** and, therefore, are outside the scope of IAS 40: [IAS 40.5 and 40.9]

- ✓ **Property held for use in the production or supply of goods or services or for administrative purposes**.
- ✓ **Property held for sale in the ordinary course of business**.
- ✓ **Property intended for sale in the ordinary course of business or in the process of construction or development for such sale** (IAS 2 *Inventories*), *for example, property acquired exclusively with a view to subsequent disposal in the near future or for development and resale*.

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IAS 40 – *Examples*

- ✓ **Owner-occupied property** (IAS 16 *Property, Plant and Equipment* and IFRS 16 *Leases*), including (among other things) property held for future use as owner-occupied property, property held for future development and subsequent use as owner-occupied property, property occupied by employees (whether or not the employees pay rent at market rates) and owner-occupied property awaiting disposal.

- ✓ **Property that is leased to another entity under a finance lease**.

IAS 40 – *Recognition*

par. 16-19A

An owned investment property **shall** be recognized as an asset **when, and only when**: [IAS 40.16]

a) *it is probable that the future economic benefits that are associated with the investment property will flow to the entity*; and

b) *the cost of the investment property can be measured reliably*.

IAS 40 – *Measurement at recognition*

par. 20-29A

An owned investment property shall be measured initially at its cost.

Transaction costs shall be included in the initial measurement. [IAS 40.20]

The cost of an investment property *is not increased by*: [IAS 40.23]

a) **start-up costs** (unless they are necessary to bring the property to the condition necessary for it to be capable of operating in the manner intended by management),

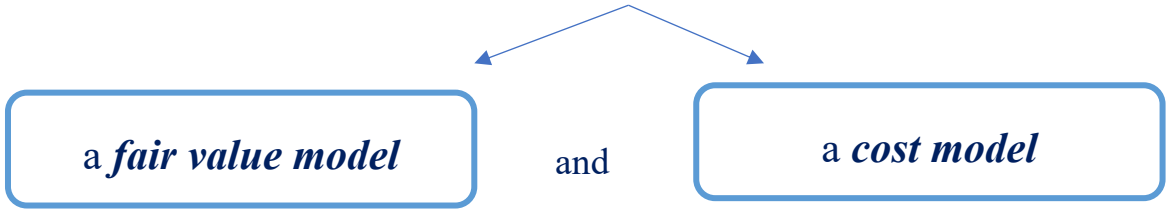
b) **operating losses incurred before the investment property achieves the planned level of occupancy**, or

c) **abnormal amounts of wasted material, labour or other resources** incurred in constructing or developing the property.

IAS 40 - *Measurement after recognition*

par. 30-56

IAS 40 permits entities to choose between: [IAS 40.30]



One method must be adopted for all of an entity's investment property.

IAS 8 [whose title ~~*Accounting Policies, Changes in Accounting Estimates and Errors*~~ has been changed by IFRS 18] ***Basis of Preparation of Financial Statements*** states that a voluntary change in accounting policy shall be made only if the change results in the financial statements providing reliable and more relevant information about the effects of transactions, other events or conditions on the entity's financial position, financial performance or cash flows. **It is highly unlikely that a change from the fair value model to the cost model will result in a more relevant presentation.** [IAS 40.31]

IAS 40 - *Measurement after recognition*

par. 30-56

Fair value model

Investment property is **remeasured** at **fair value**, which is *the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date*.

(See IFRS 13 *Fair Value Measurement*) [IAS 40.5]

After initial recognition, an entity that chooses the ***fair value model*** **shall measure all of its investment property at fair value**, except in the cases described in paragraph 53. [IAS 40.33]

IAS 40 - *Measurement after recognition*

par. 30-56

Fair value model

A ***gain or loss*** arising from a change in the fair value of investment property **shall be recognized in *profit or loss*** for the period in which it arises. [IAS 40.35]

When measuring the fair value of investment property in accordance with IFRS 13, an entity shall ensure that ***the fair value reflects***, among other things, *rental income from current leases and other assumptions that market participants would use when pricing investment property under current market conditions*. [IAS 40.40]

When a lessee uses the fair value model to measure an investment property that is held as a right-of-use asset, it shall measure ***the right-of-use asset***, and not the underlying property, ***at fair value***. [IAS 40.40A]

IAS 40 - *Measurement after recognition*

par. 30-56

Fair value model

IFRS 16 specifies the basis for initial recognition of the cost of an investment property held by a lessee as a right-of-use asset. Paragraph 33 requires investment property held by a lessee as a right-of-use asset to be remeasured, if necessary, to fair value if the entity chooses the fair value model. **When lease payments are at market rates, the fair value of an investment property held by a lessee as a right-of-use asset at acquisition, net of all expected lease payments (including those relating to recognised lease liabilities), should be zero**. Thus, remeasuring a right-of-use asset from cost in accordance with IFRS 16 to fair value in accordance with paragraph 33 (taking into account the requirements in paragraph 50*) **should not give rise to any initial gain or loss, unless fair value is measured at different times**. This could occur when an election to apply the fair value model is made after initial recognition. [IAS 40.41]

** In determining the carrying amount of investment property under the fair value model, an entity does not double-count assets or liabilities that are recognised as separate assets or liabilities.*

IAS 40 - *Measurement after recognition*

par. 30-56

Fair value model

There is a ***rebuttable presumption*** that an entity can reliably measure the fair value of an investment property ***on a continuing basis***.

However, **in exceptional cases**, **there is clear evidence** when an entity first acquires an investment property (or when an existing property first becomes investment property after a change in use) **that the fair value of the investment property is not reliably measurable on a continuing basis**. This arises **when, and only when, the market for comparable properties is inactive** (e.g., there are few recent transactions, price quotations are not current or observed transaction prices indicate that the seller was forced to sell) **and alternative reliable measurements of fair value** (for example, based on discounted cash flow projections) **are not available**.

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IAS 40 - *Measurement after recognition*

par. 30-56

Fair value model

If an entity determines that the fair value of an ***investment property under construction*** *is not reliably measurable but expects the fair value of the property to be reliably measurable when construction is complete,* ***it shall measure that investment property under construction at cost until either its fair value becomes reliably measurable or construction is completed*** (whichever is earlier).

If an entity determines that the fair value of an investment property (other than an investment property under construction) **is not reliably measurable on a continuing basis, the entity shall measure that investment property using the cost model** in IAS 16 for owned investment property **or in accordance with IFRS 16** for investment property held by a lessee as a right-of-use asset.

The residual value of the investment property shall be assumed to be zero. The entity shall continue to apply IAS 16 or IFRS 16 until disposal of the investment property. [IAS 40.53]

IAS 40 - *Measurement after recognition*

par. 30-56

Fair value model

If an entity has previously measured an investment property at fair value,

it shall continue to measure the property at fair value until disposal

(*or until the property becomes owner-occupied property or the entity begins to develop the property for subsequent sale in the ordinary course of business*)

even if comparable market transactions become less frequent or market prices become less readily available.

[IAS 40.55]

IAS 40 - *Measurement after recognition*

par. 30-56

Cost Model

After initial recognition, **an entity that chooses the cost model** shall measure investment property: [IAS 40.56]

- **in accordance with IFRS 5** *Non-current Assets Held for Sale and Discontinued Operations* if it meets the criteria to be classified as **held for sale** (or is included in a disposal group that is classified as held for sale);
- **in accordance with IFRS 16** if it is held by a lessee as a right-of-use asset and is not held for sale in accordance with IFRS 5; and
- **in accordance with the requirements in IAS 16** for the cost model in all other cases.

IAS 40 – *Transfers*

par. 57-65

Transfers to, or from, investment property shall be made **when, and only when, there is a change in use, evidenced by**: [IAS 40.57]

a) *Commencement of owner-occupation*, for a transfer from investment property to owner-occupied property;

b) *Commencement of development with a view to sale*, for a transfer from investment property to inventories;

c) *End of owner-occupation*, for a transfer from owner-occupied property to investment property; or

d) *Commencement of an operating lease to another party*, for a transfer from inventories to investment property.

IAS 40 – *Transfers*

par. 57-65

Paragraph 57(b) requires an entity **to transfer a property from investment property to inventories** when, and only when, there is a **change in use**, evidenced by commencement of development with a view to sale.

When an entity decides to dispose of an investment property **without development**, **it continues to treat the property as an investment property until it is derecognised** (eliminated from the statement of financial position) **and does not treat it as inventory**.

Similarly, if an entity begins to redevelop an existing investment property for continued future use as investment property, the property remains an investment property and is not reclassified as owner-occupied property during the redevelopment. [IAS 40.58]

IAS 40 – *Transfers*

par. 57-65

The following rules **apply for accounting for transfers between categories**:

- *for a transfer from investment property carried at fair value to owner-occupied property or inventories*, the property's deemed cost for subsequent accounting in accordance with IAS 16, IFRS 16 or IAS 2 **shall be its fair value at the date of change in use**. [IAS 40.60]
- *if an owner-occupied property becomes an investment property that will be carried at fair value*, an entity shall apply IAS 16 for owned property and IFRS 16 for property held by a lessee as a right-of-use asset up to the date of change in use. **The entity shall treat any difference at that date *between the carrying amount of the property in accordance with IAS 16 or IFRS 16 and its fair value* in the same way as a revaluation in accordance with IAS 16**. [IAS 40.61]

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IAS 40 – *Transfers*

par. 57-65

- *for a transfer from inventories to investment property that will be carried at fair value*, **any difference** between the fair value of the property at that date and its previous carrying amount **shall be recognised in profit or loss**. [IAS 40.63]
- *when an entity completes the construction or development of a self-constructed investment property that will be carried at fair value*, **any difference** between the fair value of the property at that date and its previous carrying amount **shall be recognised in profit or loss**. [IAS 40.65]

IAS 40 – *Transfers*

par. 57-65

Paragraphs 60-65 apply to recognition and measurement issues that arise when an entity uses the fair value model for investment property.

When an entity uses the cost model,

transfers between investment property, owner-occupied property and inventories

do not change the carrying amount of the property transferred and they do not change the cost of that property for measurement or disclosure purposes.

[IAS 40.59]

IAS 40 – *Disposals*

par. 66-73

An investment property shall be derecognized (eliminated from the statement of financial position) **on disposal** or **when the investment property is permanently withdrawn from use and no future economic benefits are expected** from its disposal. [IAS 40.66]

Gains or losses arising from the retirement or disposal of investment property shall be determined as the difference between the net disposal proceeds and the carrying amount of the asset and shall be recognized **in profit or loss** (*unless IFRS 16 requires otherwise on a sale and leaseback*) **in the period of the retirement or disposal**. [IAS 40.69]

Compensation from third parties for investment property that was impaired, lost or given up shall be recognized in **profit or loss when the compensation becomes receivable**. [IAS 40.72]

IAS 40 – *Disclosure*

par. 74-79

Fair Value Model and Cost Model

The disclosures below apply in addition to those in IFRS 16.

In accordance with IFRS 16, the owner of an investment property provides lessors' disclosures about leases into which it has entered.

A lessee that holds an investment property as a right-of-use asset provides lessees' disclosures as required by IFRS 16 and lessors' disclosures as required by IFRS 16 for any operating leases into which it has entered.

[IAS 40.74]

IAS 40 – *Disclosure*

par. 74-79

Fair Value Model and Cost Model

An entity shall disclose: [IAS 40.75]

1. **whether it applies the fair value model or the cost model**

2. **when classification is difficult, the criteria it uses to distinguish** *investment property* from *owner-occupied property* and from *property held for sale* in the ordinary course of business.

3. **the extent to which the fair value of investment property** (as measured or disclosed in the financial statements) **is based on a valuation by an independent valuer** who holds a recognized and relevant professional qualification and has recent experience in the location and category of the investment property being valued. *If there has been no such valuation, that fact shall be disclosed*.

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IAS 40 – *Disclosure*

par. 74-79

Fair Value Model and Cost Model

4. **the amounts recognized in profit or loss for**:
   - *rental income from investment property*;
   - *direct operating expenses* (including repairs and maintenance) *arising from investment property that generated rental income during the period*;
   - *direct operating expenses* (including repairs and maintenance) *arising from investment property that did not generate rental income during the period*; and
   - *the cumulative change in fair value recognized in profit or loss on a sale of investment property from a pool of assets in which the cost model is used into a pool in which the fair value model is used*.
5. **the existence and amounts of restrictions** on the realizability of investment property or the remittance of income and proceeds of disposal.
6. **contractual obligations to purchase**, construct or develop investment property or for repairs, maintenance or enhancements.

IAS 40 – *Disclosure*

par. 74-79

Additional Disclosures for the Fair Value Model

In addition to the disclosures required by paragraph 75,

an entity that applies **the fair value model** in paragraphs 33–55 shall disclose a reconciliation between the carrying amounts of investment property at the beginning and end of the period,

showing the following:

[IAS 40.76]

IAS 40 – *Disclosure*

par. 74-79

Additional Disclosures for the Fair Value Model

a) *additions*, disclosing separately those *additions resulting from acquisitions* and those resulting from *subsequent expenditure recognized in the carrying amount of an asset*;

b) *additions resulting from acquisitions through business combinations*;

c) *assets classified as held for sale or included in a disposal group classified as held for sale* in accordance with IFRS 5 and other disposals;

d) *net gains or losses from fair value adjustments*;

e) *net exchange differences* arising on the translation of the financial statements into a different presentation currency, and on translation of a foreign operation into the presentation currency of the reporting entity;

f) *transfers to and from inventories and owner-occupied property*; and

g) *other changes*.

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IAS 40 – *Disclosure*

par. 74-79

Additional Disclosures for the Fair Value Model

When a valuation obtained for investment property is adjusted significantly for the purpose of the financial statements, for example to avoid double-counting of assets or liabilities that are recognized as separate assets and liabilities, the entity shall disclose a reconciliation between the valuation obtained and the adjusted valuation included in the financial statements, showing separately the aggregate amount of any recognized lease liabilities that have been added back, and *any other significant adjustments*. [IAS 40.77]

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IAS 40 – *Disclosure*

par. 74-79

Additional Disclosures for the Fair Value Model

In the exceptional cases referred to in paragraph 53, when an entity measures investment property using the cost model in IAS 16 or in accordance with IFRS 16, the reconciliation required by paragraph 76 shall disclose *amounts relating to that investment property separately from amounts relating to other investment property*. **In addition**, an entity shall disclose: [IAS 40.78]

a) **a description of the investment property**;

b) **an explanation of why fair value cannot be measured reliably**;

c) **if possible, the range of estimates** within which fair value is highly likely to lie; and

d) **on disposal of investment property not carried at fair value**:

- *the fact that the entity has disposed of investment property not carried at fair value*;
- *the carrying amount of that investment property at the time of sale; and*
- *the amount of gain or loss recognized.*

IAS 40 – *Disclosure*

par. 74-79

Additional Disclosures for the Cost Model

In addition to the disclosures required by paragraph 75, an entity that applies the **cost model** in paragraph 56 shall disclose: [IAS 40.79]

a) **the depreciation methods used**;

b) **the useful lives or the depreciation rates used**;

c) **the gross carrying amount and the accumulated depreciation** (aggregated with accumulated impairment losses) at the beginning and end of the period;

d) **a reconciliation of the carrying amount of investment property** at the beginning and end of the period, *showing the following*:

- *additions*, disclosing separately those additions resulting from acquisitions and those resulting from subsequent expenditure recognized as an asset;

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IAS 40 – *Disclosure*

Additional Disclosures for the Cost Model

- *additions resulting from acquisitions through business combinations*;
- *assets classified as held for sale or included in a disposal group classified as held for sale* in accordance with IFRS 5 and other disposals;
- *depreciation*;
- *the amount of impairment losses recognized, and the amount of impairment losses reversed*, during the period in accordance with IAS 36;
- *the net exchange differences* arising on the translation of the financial statements into a different presentation currency, and on translation of a foreign operation into the presentation currency of the reporting entity;
- *transfers to and from inventories and owner-occupied property*; and
- *other changes*.

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IAS 40 – *Disclosure*

Additional Disclosures for the Cost Model

e) **the fair value of investment property**. In the exceptional cases described in paragraph 53, when an entity cannot measure the fair value of the investment property reliably, it shall disclose:

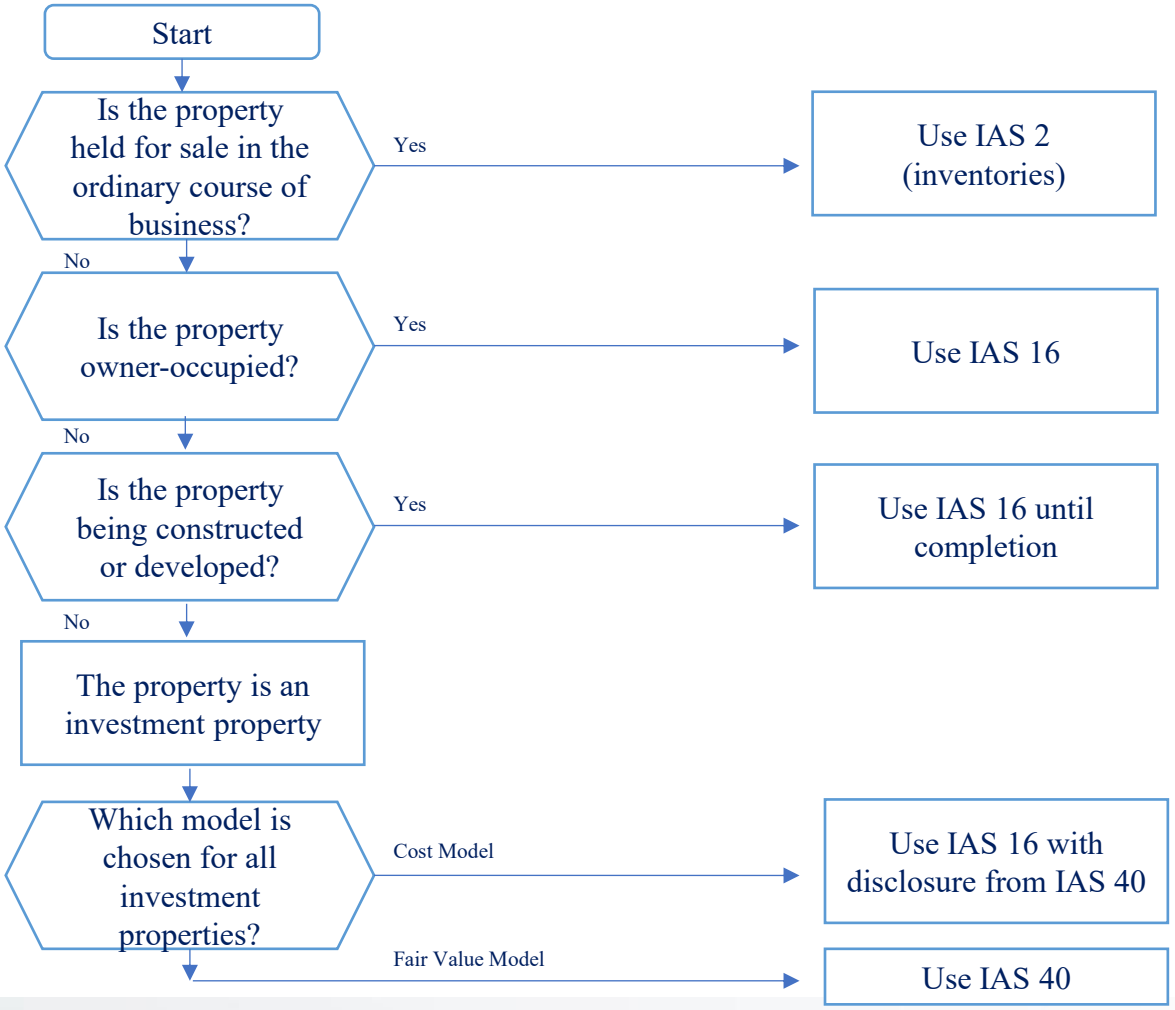
- *a description of the investment property*;
- *an explanation of why fair value cannot be measured reliably*; and
- *if possible, the range of estimates within which fair value is highly likely to lie*.

Decision Tree

by David Alexander and Simon Archer (2017), *International Accounting / Financial reporting Standards Guide*, Wolters Kluwer

Decision Tree

The following *decision tree*, reproduced from the appendix to the 2000 version of IAS 40, provides a useful summary of the process of deciding on the appropriate IAS treatment of most property.



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